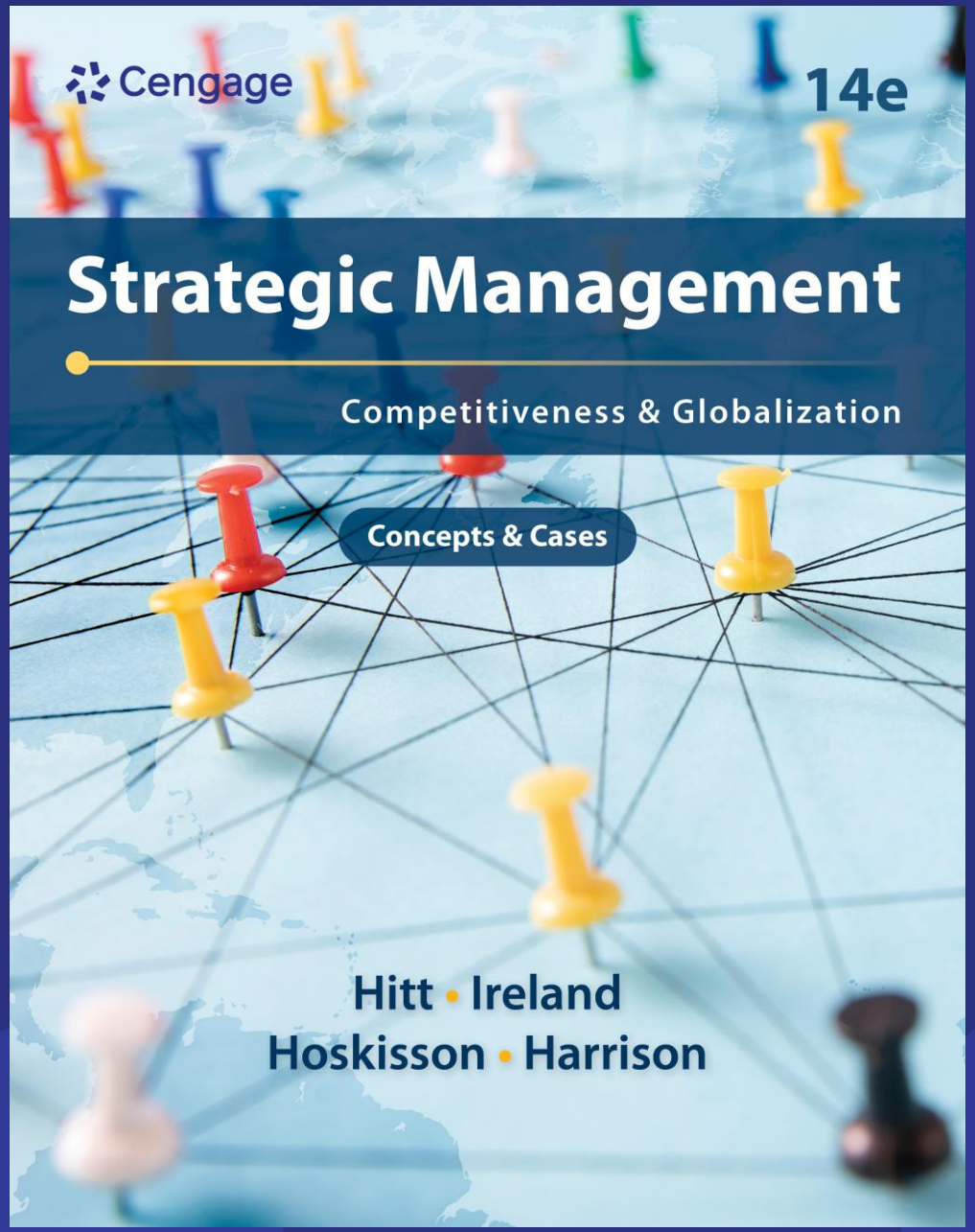


Chapter 4

Business-Level Strategy

Week3 Recap

- By analyzing its internal organization, a firm determines what it can do.

  Can do—a function of its resources, capabilities, and core competencies in the internal organization

- Firms analyzing their internal organization should use a global mind-set to do so.
- A global mind-set is the ability to analyze, understand, and manage an internal organization in ways that are not dependent on the assumptions of a single country, culture, or context.

Learning Objectives

By the end of this chapter, you should be able to:

4.1 Explain what a business-level strategy is and its purpose.

4.2 Discuss the relationship between customers and business-level strategies in terms of *who*, *what*, and *how*.

4.3 Describe business models, including their relationship with business-level strategies.

4.4 Using the five forces model, explain cost leadership as a business-level strategy, including the associated risks.

4.5 Using the five forces model, explain differentiation as a business-level strategy, including the associate risks.

4.6 Explain focus strategies as a business-level strategy, including the associated risks.

4.7 Explain integrated cost leadership/differentiation as a business-level strategy, including the associated risks.

4-1

Understanding Business-Level Strategies

Understanding Business-Level Strategies (1 of 4)

- Strategy is concerned with making choices among two or more alternatives.
- A **digital strategy** uses digital technology to help a firm understand its customers and their needs with greater clarity as a foundation for developing innovations that create more value for those customers.
  - Information and the technologies available to gather and analyze it are at the core of a firm's effort to form a digital strategy.
  - A digital strategy is developed and implemented in combination with other firm strategies.

Digital Strategy

- **Netflix:** Netflix uses extensive viewing data, testing, and machine learning to understand individual tastes and behaviors. That insight drives personalization (e.g., recommendations and artwork) and informs content decisions, which creates more value through better discovery and engagement.
- Source: “The Netflix Recommender System: Algorithms, Business Value, and Innovation,” ACM Transactions on Management Information Systems (2016), (https://dl.acm.org/doi/10.1145/2843948).



Understanding Business-Level Strategies (2 of 4)

- By selecting and implementing one or more strategies, firms seek to:
  - gain strategic competitiveness.
  - earn above-average returns.
- Strategies:
  - are purposeful.
  - engage rivals in marketplace competition.
  - demonstrate a shared understanding of the firm's vision and mission.
- A strategy consistent with the conditions and realities of a firm's external and internal environments marshals, integrates, and allocates available resources, capabilities, and competencies to align them properly with opportunities in the external environment.

Understanding Business-Level Strategies (3 of 4)

- A **business-level strategy** is an integrated and coordinated set of commitments and actions the firm uses to gain a competitive advantage by exploiting core competencies in a specific product market.
- A business-level strategy is:
  - something that every firm must develop and implement.
  - the *core* strategy—the strategy that the firm forms to describe how it intends to compete against rivals on a day-to-day basis in its chosen product market.

Understanding Business-Level Strategies (4 of 4)

- The purpose of a business-level strategy is to create differences between the firm's position and those of its competitors.
- To position itself differently from competitors, a firm must decide if it intends to *perform activities differently* or if it will *perform different activities*.
- Strategy defines the path that provides the direction of actions organizational leaders take to help their firms achieve success.
- The successful use of a business-level strategy results from the firm learning how to integrate its activities in ways that create superior value for customers.

Discussion Activity 4-1

In the text, it is stated that, "*While firms devise their business-level strategies in the context of what is happening in the external environment, it is important to realize that* ***they do not have to conform to all aspects of that environment.*** *They can, through their strategies, influence the environment*."

What do you think is meant by this statement? Can you think of examples, beyond those given in the text, where this has occurred?

4-2

Customers: Their Relationship with Business-Level Strategies

4-3

Business Models and Their Relationship with Business-Level Strategies

4-4

Cost Leadership Strategy

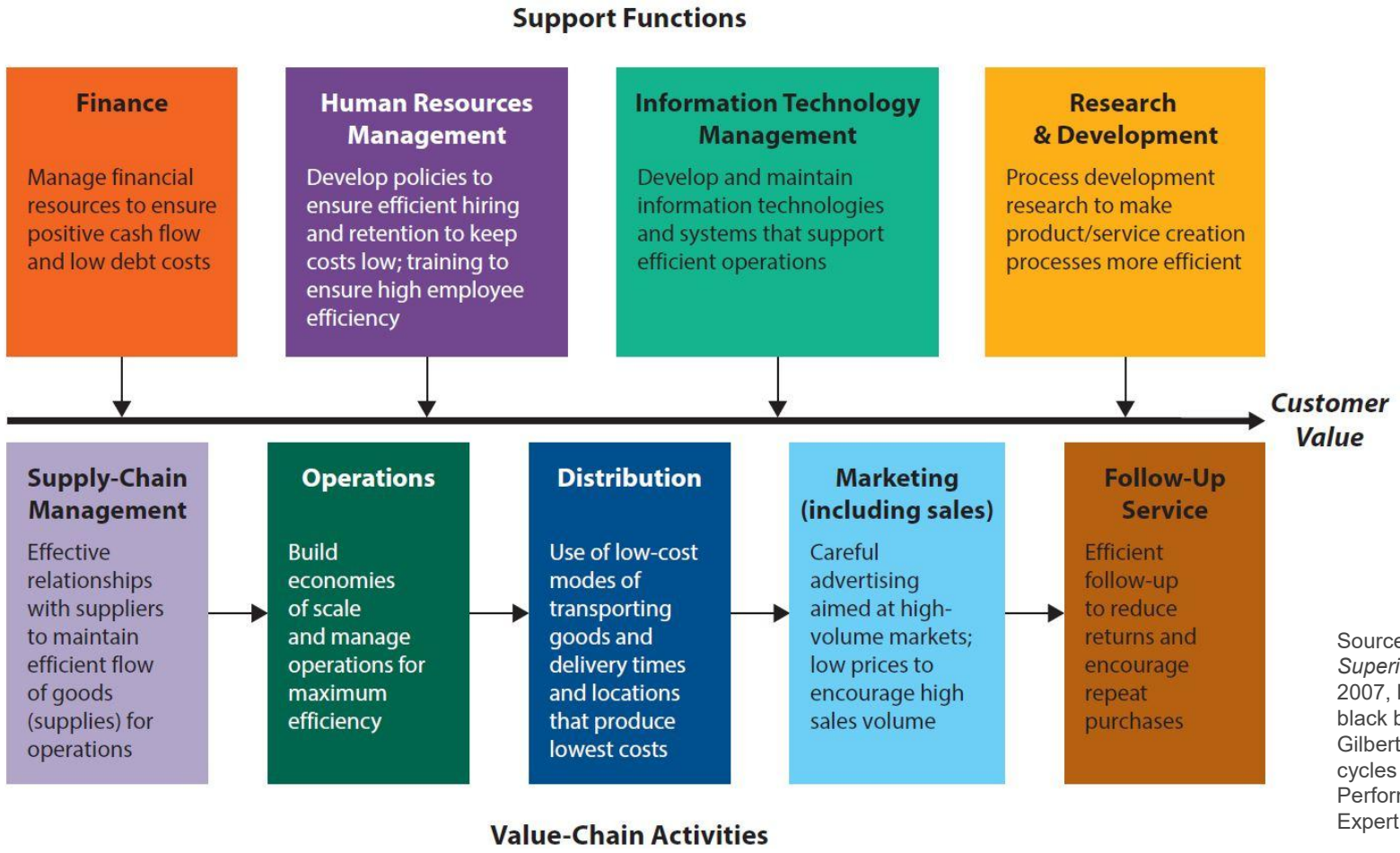
Cost Leadership Strategy (1 of 6)

- The **cost leadership strategy** is an integrated set of actions taken to produce products with features that are acceptable to customers at the lowest cost, relative to that of competitors.
- Firms using the cost leadership strategy commonly sell standardized goods or services, but with competitive levels of differentiation, to the industry's most typical customers.
- *Process innovations* (newly designed production and distribution methods and techniques that allow the firm to operate more efficiently) are critical to a firm's efforts to use the cost leadership strategy successfully.

Cost Leadership Strategy (2 of 6)

- Firms implementing the cost leadership strategy strive constantly to drive their costs lower and lower relative to competitors so they can sell their products and services to customers at a low and perhaps the lowest cost.
- Cost leaders seeking competitively valuable ways to reduce costs may want to concentrate on the primary activities of inbound logistics and outbound logistics.
- Cost leaders also examine all support activities to find additional cost reductions.
- Effective use of the cost leadership strategy allows a firm to earn above-average returns despite strong competitive forces.

Figure 4.2 Examples of Value-Creating Activities Associated with the Cost Leadership Strategy



Sources: Based on M. E. Porter, 1998, *Competitive Advantage: Creating and Sustaining Superior Performance*, New York, The Free Press; D. G. Sirmon, M. A. Hitt, & R. D. Ireland, 2007, Managing firm resources in dynamic environments to create value: Looking inside the black box, *Academy of Management Review*, 32: 273–292; D. G. Sirmon, M. A. Hitt, & B. A. Gilbert, 2011, Resource orchestration to create competitive advantage: Breadth, depth and life cycles effects, *Journal of Management*, 37, 1390–1412; J. S. Harrison, 2020, Sustaining High Performance in Business: Systems, Resources, and Relationships, New York, Business Expert Press.

Cost Leadership Strategy (3 of 6)

- Rivalry with Existing Competitors
  - Because of the cost leader's advantageous position, rivals hesitate to compete on the price variable.
  - Factors that influence the degree of rivalry that firms encounter when implementing the cost leadership strategy include:
    - Organizational size
    - Resources possessed by rivals
    - A firm's dependence on a particular market
    - Location
    - Prior competitive interactions between firms
    - A firm's reach, richness, and affiliation with customers

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Cost Leadership Strategy (4 of 6)

- Bargaining Power of Buyers (Customers)
  - Powerful customers can force a cost leader to reduce its prices.
  - Competitive forces mean that prices typically will not be reduced below the level at which the cost leader's next-most-efficient industry competitor can earn average returns unless the low-cost leader is trying to push the next-most-efficient competitor out of the market.
- Bargaining Power of Suppliers
  - A cost leader generally operates with margins greater than its competitors earn.
  - A powerful cost leader may be able to force its suppliers to hold down their prices, which would reduce the suppliers' margins in the process.

Cost Leadership Strategy (5 of 6)

- Potential Entrants
  - Over time, the efficiency of a cost leader enhances its profit margins, which in turn creates an entry barrier to potential competitors.
  - New entrants must be willing to accept less than average returns until they gain the experience required to approach the cost leader's efficiency.
- Product Substitutes
  - When faced with product substitutes, the cost leader has more flexibility than do its competitors.
  - To retain customers, it often can reduce its product's price.

Cost Leadership Strategy (6 of 6)

- Competitive Risks of the Cost Leadership Strategy
  - Competitive risks associated with the cost leadership strategy include:
    - a loss of competitive advantage to newer technologies.
    - a failure to detect changes in customers' needs.
    - the ability to imitate the cost leader's competitive advantage through competitors' own distinct strategic actions.

Knowledge Check 4-4

Each business-level strategy can help the firm establish and exploit a particular competitive _____ as the basis for how it will create value for customers within a particular competitive _____.

a. advantage; scope

b. scope; advantage

c. geographic area; market

d. cost; activity

4-5

Differentiation Strategy

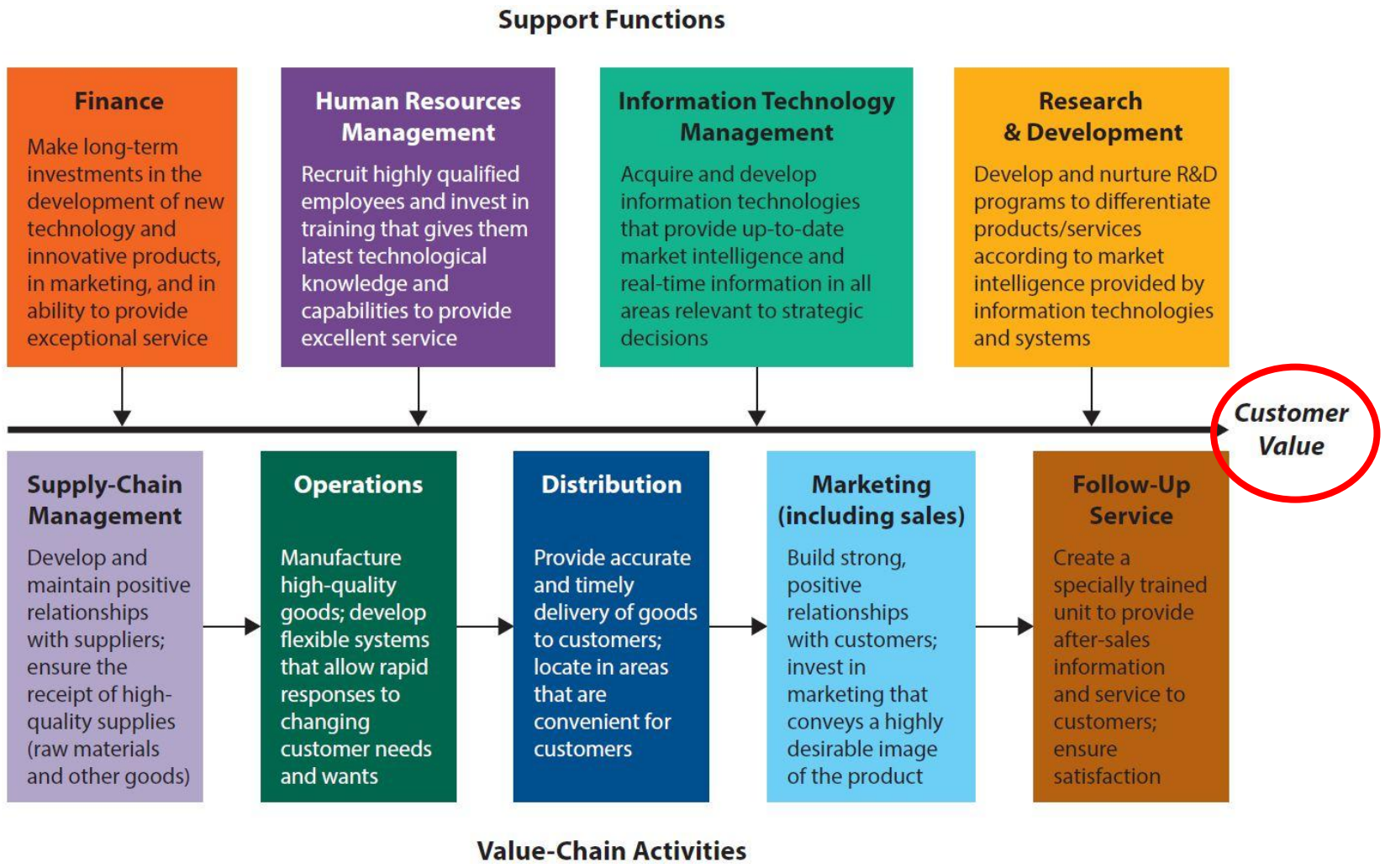
Differentiation Strategy (1 of 6)

- The differentiation strategy is an integrated set of actions taken to produce products that customers perceive as being different in ways that are important.
- While cost leaders serve a typical customer in an industry, differentiators target customers for whom the firm creates value because of how its products differ from those its competitors produce and market.
- Product innovation, in which a firm creates a new or modified product or service to satisfy a customer need, is critical to the successful use of the differentiation strategy.
- Through the differentiation strategy, the firm produces distinctive products for customers who value differentiated features more than low cost.

Differentiation Strategy (2 of 6)

- These products' unique attributes, rather than their purchase prices, provide the incremental value for which customers are willing to pay a higher price.
- To maintain success by implementing the differentiation strategy, the firm must:
  - consistently upgrade differentiated features that customers value.
  - create new valuable features without significant cost increases.
- Firms using the differentiation strategy seek to differentiate their products from competitors' products on as many dimensions as possible.
- Firms use the value chain to determine how to link the activities required to create value by using the differentiation strategy.

Figure 4.3 Examples of Value-Creating Activities Associated with the Differentiation Strategy



Sources: Based on M. E. Porter, 1998, *Competitive Advantage: Creating and Sustaining Superior Performance*, New York, The Free Press; D. G. Sirmon, M. A. Hitt, & R. D. Ireland, 2007, Managing firm resources in dynamic environments to create value: Looking inside the black box, *Academy of Management Review*, 32: 273–292; D. G. Sirmon, M. A. Hitt, & B. A. Gilbert, 2011, Resource orchestration to create competitive advantage: Breadth, depth and life cycles effects, *Journal of Management*, 37, 1390–1412; J. S. Harrison, 2020, Sustaining High Performance in Business: Systems, Resources, and Relationships, New York, Business Expert Press.

Differentiation Strategy (3 of 6)

- Firms using the differentiation strategy can successfully position themselves in terms of the five forces of competition.
- Rivalry with Existing Competitors
  - Customers of products differentiated in ways that are meaningful to them tend to be loyal and less sensitive to price increases.
  - The relationship between brand loyalty and price sensitivity insulates a firm from competitive rivalry.

Differentiation Strategy (4 of 6)

- Bargaining Power of Buyers (Customers)
  - Purchasers of differentiated products accept price increases as long as they continue to perceive the products satisfy their distinctive needs at an acceptable cost.
- Bargaining Power of Suppliers
  - Higher costs from suppliers can be:
    - absorbed by high margins earned by the firm.
    - passed on to customers through price increases.

Differentiation Strategy (5 of 6)

- Potential Entrants
  - Substantial barriers to potential entrants are created by:
    - customer loyalty.
    - the need to overcome the uniqueness of a differentiated product.
- Product Substitutes
  - Firms selling brand-name products to loyal customers face a lower probability of customers switching to substitute products.

Differentiation Strategy (6 of 6)

- Competitive Risks of the Differentiation Strategy
  - Risks associated with the differentiation strategy include:
    - a customer group's decision that a differentiated product's unique features are no longer worth a premium price.
    - the inability of a differentiated product to create the type of value for which customers are willing to pay a premium price.
    - the ability of competitors to provide customers with products that have features similar to those of the differentiated product but at a lower cost.
    - counterfeiting.
    - the failure of a firm to meet customers' expectations through its efforts to implement the differentiation strategy.

Knowledge Check 4-5

As their loyalty to a brand increases, customers become:

a. more aware of imitation efforts by rivals.

b. less accepting of price increases.

c. more aware of price decreases.

d. less sensitive to price increases.

4-6

Focus Strategies

Focus Strategies (1 of 4)

- The **focus strategy** is an integrated set of actions taken to produce products that serve the needs of a particular segment of customers.
- Market segments firms may choose to serve by implementing a focus strategy include:
  - a particular buyer group (e.g., senior citizens).
  - a different segment of a product line (e.g., products for professional painters).
  - a different geographic market (e.g., northern or southern Italy).
  - a certain technology (e.g., artificial intelligence [AI] or robotics).

Focus Strategies (2 of 4)

- The focus strategy leads to success when the firm successfully:
  - serves a segment whose unique needs are so specialized that broad-based competitors choose not to serve that segment.
  - creates value for a segment that exceeds the value created by industry-wide competitors.
- Firms can create value for customers in specific and unique market segments by using the:
  - focused cost leadership strategy.
  - focused differentiation strategy.

Focus Strategies (3 of 4)

- Focused Cost Leadership Strategy
  - The activities required to use the focused cost leadership strategy are virtually identical to those of the industry-wide cost leadership strategy.
- Focused Differentiation Strategy
  - The activities required to use the focused differentiation strategy are largely identical to those of the industry-wide differentiation strategy.
- The activities required to use both of these strategies and the manner in which both of these strategies allow a firm to deal successfully with the five competitive forces are virtually identical to those of the industry-wide cost leadership and differentiation strategies.

Focus Strategies (4 of 4)

- Competitive Risks of Focus Strategies
  - A competitor's ability to use its core competencies to "out focus" the focuser by serving an even more narrowly defined market segment
  - An industry-wide company's decision that the market segment served by the firm using a focus strategy is attractive and worthy of competitive pursuit
  - A reduction in differences of the needs between customers in a narrow market segment and the industry-wide market over time

Knowledge Check 4-6

Which of the following statements about focus strategies is true?

a. They are subject to more failure than industry-wide strategies.

b. They can avoid global risk by focusing on pointed national or regional markets.

c. They are protected from risks associated with industry-wide strategies due to a position focus.

d. They are faced with more risks than are industry-wide strategies.

4-7

Integrated Cost Leadership/Differentiation Strategy

Integrated Cost Leadership/Differentiation Strategy (1 of 6)

- The **integrated cost leadership/differentiation strategy** finds a firm engaging simultaneously in primary value chain activities and support functions to achieve a low-cost position with some product differentiation.
- When using this strategy, firms seek to produce relatively low-cost products that have some differentiated features that their customers value.
- Firms that use the integrated cost leadership/differentiation strategy successfully usually adapt quickly to new technologies and rapid changes in their external environments.

Integrated Cost Leadership/Differentiation Strategy (2 of 6)

- Developing **two sources of competitive advantage** increases the number of primary value-chain activities and support functions in which the firm becomes competent.
- **Flexibility** is required to learn how to use primary value-chain activities and support functions in ways to produce differentiated products at relatively low costs.
- Three sources of flexibility used to implement the integrated cost leadership/differentiation strategy successfully include:
  - flexible manufacturing systems.
  - information networks.
  - total quality management systems.

Integrated Cost Leadership/Differentiation Strategy (3 of 6)

- **Flexible Manufacturing Systems**
  - A computer-controlled process that firms use to produce a variety of products in moderate, flexible quantities with a minimum of manual intervention.
  - The goal of an FMS is to eliminate the "low cost versus product variety" trade-off that is inherent in traditional manufacturing technologies.
  - An FMS allows a firm to:
    - change quickly and easily from making one product to making another.
    - increase its effectiveness in responding to changes in its customers' needs, while retaining low-cost advantages and consistent product quality.
    - reduce the lot size needed to manufacture a product efficiently.
    - have a greater capacity to serve the unique needs of a narrow competitive scope.

Integrated Cost Leadership/Differentiation Strategy (4 of 6)

- Information Networks
  - Information networks link companies with their:
    - Suppliers
    - Distributors
    - Customers
      - Customer relationship management (CRM) is an information-network process that firms use to manage relationships with customers.
  - When used effectively, information networks help the firm satisfy customer expectations in terms of:
    - Product quality
    - Delivery speed

Integrated Cost Leadership/Differentiation Strategy (5 of 6)

- Total Quality Management Systems
  - **TQM** involves the implementation of appropriate tools/techniques to provide products and services to customers with best quality.
  - Firms use TQM systems to:
    - increase customer satisfaction.
    - cut costs.
    - reduce the amount of time required to introduce innovative products to the marketplace.
  - An effective TQM system helps the firm develop the flexibility needed to identify opportunities to simultaneously:
    - increase its product's differentiated features.
    - reduce costs.

Integrated Cost Leadership/Differentiation Strategy (6 of 6)

- **Competitive Risks of the Integrated Cost Leadership/Differentiation Strategy**
  - The primary risk of this strategy is that a firm might produce products that do not offer sufficient value in terms of either low cost or differentiation.
  - In such cases, the company becomes "stuck in the middle."
  - Firms stuck in the middle:
    - compete at a disadvantage.
    - are unable to earn more than average returns.

Knowledge Check 4-7

Firms use the integrated cost leadership/differentiation strategy because:

a. global markets allow for a much broader competitive scope.

b. most large firms require more than one strategy, and this allows for a multi-faceted strategy.

c. most consumers want to pay low prices for products with somewhat highly differentiated features.

d. this strategy allows firms to adapt to changing customer perceptions, unlike the other strategies available.

Summary

Click the link to review the objectives for this presentation.

Link to Objectives